

French budget risks toppling yet another government

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【メール原文】

A draft budget for 2027 risks toppling the third French government in three years. President Vladimir Putin expanded his parliamentary majority, while|||||||

Daily Brief

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French budget threatens yet another government

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summary

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A draft budget for 2027 risks toppling the third French government in three years.

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President Vladimir Putin expanded his parliamentary majority, while a poor election result for Russia's pro-war parties indicates that the public is wary of escalation.

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Sustained high energy prices pose considerable economic risks to ASEAN countries, especially as fiscal constraints limit their potential for stimulus.

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A coalition opposed to Prime Minister Benjamin Netanyahu is likely to win Israeli elections in October, but it could end up as a short-lived minority government.

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Countries and sectors in this edition of the Daily Brief include the US, Argentina, France, Indonesia, Israel, Malaysia, Morocco, the Philippines, Russia, South Africa, Thailand, Vietnam, and oil.

the top line

France—Budget risks toppling a third government in three years

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A rough draft budget for 2027 risks toppling the government despite a widely held desire to avoid a political crisis before the presidential election next spring.

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To reduce the deficit to 5% of GDP, a draft sent to France's financial watchdog proposes a partial freeze on pensions, crossing a red line set by far-right leader and presidential front-runner Marine Le Pen, though the government can still revise the plan before presenting it to parliament by 6 October.

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EG's basecase is a 40% probability that the budget will be adopted under the special powers granted under Article 49.3 of the constitution, with a 35% chance of a government collapse by the end of the

year and a 25% chance of a budget rollover into the early months of 2027.

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Read more here . Reach out to discuss: europe@eurasiagroup.net .

Russia—Voters wary of escalation as Putin expands constitutional majority

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Putin's United Russia party won 58% of the party-list vote in the 19-21 September Duma election. It is set to expand its constitutional majority to 350 of 450 seats, giving it a freer hand than before. The ruling party will be able to amend the constitution or pass any law without negotiating with other factions.

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Although United Russia's victory was never in doubt, regional bureaucracies passed the test of delivering a controlled result.

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A Just Russia and Rodina, the most hawkish pro-war parties, both fell short of the 5% threshold, indicating that the public is cautious of escalation. Nevertheless, the Russian population will likely remain compliant and resigned despite Ukrainian strikes, gasoline shortages, and economic deterioration.

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Read more here . Reach out to discuss: europe@eurasiagroup.net .

Oil—Diesel to keep rising as crude holds in \$90-\$110 band

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Despite US success in moving oil through the Strait of Hormuz, crude prices will remain elevated, and product prices will continue to climb.

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Refinery outages and shipping disruptions caused by the Middle East and Russia-Ukraine conflicts will remain key sources of pressure, especially as Russian diesel exports collapse.

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Saudi Arabia will shift its crude exports to the Persian Gulf, taking advantage of the US escort system as the East-West pipeline slowly comes back online.

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Read more here . Reach out to discuss: ecr@eurasiagroup.net .

ASEAN—Fiscal constraints limit scope to cushion high oil prices

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ASEAN countries have so far avoided a worst-case scenario from the global energy crunch but sustained high oil prices pose considerable economic risks and fiscal constraints limit potential stimulus.

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Indonesia will stick to its 3%-of-GDP deficit limit through spending cuts, possible transfers of state-owned enterprise dividends, and tighter access to subsidized fuel rather than allowing fuel prices to rise.

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Thailand, Malaysia, and Vietnam will roll out modest measures to ease cost-of-living pressures, while the Philippines remains the most vulnerable to higher oil prices because of its heavy import dependence, mostly market-based fuel prices, and limited fiscal buffers.

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Read more here . Reach out to discuss: southeastasia@eurasiagroup.net .

Israel—Election update

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An anti-Netanyahu coalition is our basecase to win the 2026 Israeli elections (60%), but it could end up as a short-lived minority government followed by new elections within months.

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The election outcome matters less for economic stability than for key domestic issues like judicial overhaul reversal, ultra-orthodox conscription, and West Bank settler violence.

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Saudi normalization remains unlikely under any plausible Israeli government in the near term, as regional coalitions harden and Crown Prince Mohammad bin Salman actively hedges.

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Read conference call notes here . Reach out to discuss: mena@eurasiagroup.net .

upcoming conference calls

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22 September 10:30 AM ET—South Africa outlook. Register here .

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23 September 10:00 AM—Xi-Trump summit preview. Register here .

eg in depth

Morocco—Election likely to reshape ruling coalition as Islamists recover ground: The Party of Authenticity and Modernity will likely win most seats in the 23 September parliamentary election, while the National Rally of Independents will bear the brunt of falling support for the outgoing government. Public discontent and pro-Palestinian sentiment will help the Islamist opposition Justice and Development Party rebound from its crushing 2021 defeat and probably enter coalition talks, but the former ruling party is unlikely to lead the next government. Policy space will remain limited for the incoming government, as the 2030 World Cup infrastructure spending and social commitments constrain the budget; the government will remain secondary to the palace on setting foreign policy. Read more here . Reach out to discuss: mena@eurasiagroup.net .

Argentina—PASO suspension would add to Milei's early electoral advantage: President Javier Milei is likely to secure changes to the 2027 mandatory and open primaries (PASO) that would complicate opposition coordination, increase his sway over allies, and shorten the electoral period. A divided Peronist movement is still likely to unify ahead of the vote, but its leading contenders all have substantial vulnerabilities and no moderate alternative to Milei has yet emerged. Milei is the early favorite to secure reelection next year thanks to a still weak opposition and a recent stabilization in his support, but only modest gains in real income point to a competitive race and thus economic volatility.

Read more here . Reach out to discuss: latinamerica@eurasiagroup.net .

South Africa—Local elections will erode the governing GNU coalition: EG expects a poor result for the governing African National Congress (ANC) in local government elections—such a result (60% odds) would erode the support for the national unity government and increase risks to reform momentum and market sentiment. The Democratic Alliance, the ANC’s main coalition partner in the national government, will increase its share of the Johannesburg and national vote but will not match some poll expectations. Only in our least likely scenario does the Government of National Unity (GNU) generate the reform momentum needed to lift growth above 1.5% in the medium run. Read more here . Reach out to discuss: africa@eurasiagroup.net .

Upcoming events:

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22 September: Events: UN General Assembly begins 81st annual general debate.

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23 September: Events: OECD publishes interim economic outlook and Morocco holds legislative elections; Data: Eurozone, UK, and US S&P and India HSBC manufacturing PMI, Russia and Taiwan IP.

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24 September: Events: Chinese President Xi Jinping visits the US for talks with Trump; Central bank decisions: Egypt, Ghana, Mexico, Norway, Sweden, and Switzerland.

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25 September: Data: US University of Michigan consumer sentiment.

The EG Daily Brief is compiled by Jens Larsen, Lucy Eve, Babak Minovi, Pietro Guglielmi, Rahul Bhatia, Martina Silva, Blaise Hanson, and Trista Kelley.

closing quip

"It is a political risk, I am not unaware of that. But we are a long way from austerity!"—French Prime Minister Sebastien Lecornu said to Le Figaro on 17 September.

EG Daily Brief

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